

BUSINESS METRICS

₹1.04

LAKH CRORE

Size of Indian advertising industry in 2022, as per FICCI-EY report

48

PER CENT

The share of digital, or about ₹49,900 crore

30

PER CENT

The share of TV, or about ₹31,800 crore

Lala CEO of Zenith, the media buying agency under French ad major Publicis Groupe. "The loss of viewership time is happening in regional markets as well, but the pace is much slower [than] Hindi."

Just ask S. Ramamurthy, whose Vision Time India has been a leading producer of south Indian serials for over two decades. One of his shows, *Kayal* (2021) on Sun TV, has been the top-rated show in Tamil with a TRP of 11-12 on primetime since it began airing. In contrast, his show *Thangam*, which aired between 2009 and 2013, maintained a TRP of 33. "Earlier, afternoon serials used to manage a TRP of 11-12. Now, primetime serials garner only 11-12, while afternoon shows get 5," he says. "Shows used to easily run for 8-10 years earlier. These days, a good show lasts 500 episodes (two years)."

Leading Telugu serial producer Shobu Yarlagadda, famous for producing the *Baahubali* films, paints a similar picture. "The Telugu audience for serials is still intact compared to Hindi, but compared to Telugu's viewership a few years ago, it has reduced," says the Co-Founder and CEO of Arka Media Works.

BUDGET CONTROL

It's not that regional markets are insulated from the OTT onslaught, but Shahi, Ramamurthy and Yarlagadda are unanimous that tighter budgets give them a longer runway. All of them agree that serials get ₹2-3 lakh to shoot an episode in Marathi, Tamil and Telugu. In Hindi, however, the budgets are ₹7-10 lakh an episode, going up to ₹20-30 lakh even 10 years ago. "We never had and still don't have those kinds of budgets. So, the OTT impact on Hindi serials is much more than... [on] regional languages," says Yarlagadda.

The broadcasting machinery functions on advertiser revenue. A 30-minute episode has 22 to 24 minutes of content and six to eight minutes of ads. Despite the higher TRPs of regional channels, Hindi channels

command much higher ad rates. "A 10-second ad on a leading channel in a top Hindi show with a TRP of 2-3 may get ₹1.5 lakh, while a regional show with 10-12 TRP will get only ₹30,000-40,000 simply because Hindi caters to a larger viewership base," says Zenith's Lala. Hindi is still the largest TV market, points out PwC's Basu. "The language covers 70 per cent of the addressable market. It is about 2.31 times the size of all the southern markets." But three to four top Hindi channels compete for ad money compared to regional languages, where one or two occupy the top slot.

Disney Star, Zee Entertainment Enterprises Ltd, Viacom18 and Sun TV Network did not respond to *Business Today's* queries.

"It's more profitable for a regional channel to run a serial because their cost of production is less and the market is very specific. So, their ratings and ad revenues are also specific for a market," says Tony D'Silva, Managing Partner, Business Consulting at Azendor Consulting. The former Group CEO of Sun TV Network and former Star TV executive adds that a Hindi GEC channel is spread all across. "Naturally, their costs are much more in terms of delivery mechanisms and everything."

GOING HYBRID

All leading broadcasters have their own OTT apps today, and many TV serials have sizeable viewership on digital platforms. Meanwhile, the national TV landscape is undergoing sweeping changes. American giant Walt Disney is reportedly on the lookout to hive off its India business Disney Star. Viacom18, which owns the Colors network of channels, has adopted a more digi-

SEASON SHIFT



There are about 260 episodes in a year. Once known to easily cross 1,000 episodes, serials are considered a hit now if they complete even half that number



In fact, 60 to 70 per cent of the shows in Hindi go off the air even before completing 100 episodes



It takes about 80-100 episodes for a show to break even. When a show goes off air before that, it becomes a loss-making venture